FEATURE BRIEF · SIMPLE INVOICING

ITC Guard

Turn our purchase-side accounting data into recovered cash — by catching the input tax credit our customers are silently losing every month.

> **The proposal in one sentence.** Build a GSTR-2B reconciliation module that matches a customer's purchase invoices against what their suppliers actually filed, puts a rupee figure on the credit at risk, and chases the defaulting suppliers by email — sold as a paid add-on to the accounting product we already ship.

TRAPPED PER CUSTOMER	BUILD EFFORT	ADD-ON PRICE
₹1.62L	**3 wks**	**₹999**
Input credit stuck or lost per year, at ₹5 cr turnover	One engineer, entirely on primitives already in the codebase	Per month, per company — a 13× return for the customer

Why this, and why now

Since the July 2025 tax period, GSTR-3B outward tables are **hard-locked** — liability flows from GSTR-1 and cannot be edited. The credit side is moving the same way through the Invoice Management System. The practical consequence for every one of our customers is that **when a supplier files late or files wrong, their money stops moving**, and past the §16(4) window it is gone for good.

Nobody at the small-business end of the market solves this well. Tally sells it as an add-on. The billing apps our customers compare us to — Vyapar, myBillBook, Swipe — cannot solve it at all, because they are sales-first tools that never recorded a purchase invoice in the first place. **We already record both sides.** That is the whole opportunity.

What we are asking for

- Approval to spend **three engineering weeks** on ITC Guard as the next feature.
- Agreement to **pilot it with the seven existing tenants** at ₹999/month before any wider go-to-market spend.
- A decision on the two **platform blockers** on the final page, which gate anything sold as hosted.

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Market figures verified August 2026; sources listed on the final page.

Our customers are financing their suppliers' bad paperwork

Input tax credit is not an accounting abstraction — it is cash. A manufacturer pays GST on everything it buys and reclaims it against the GST it collects. That reclaim is only allowed if the *supplier* has correctly reported the same invoice in their own GSTR-1, so that it appears in the buyer's GSTR-2B.

If the supplier is late, sloppy, or simply never files, the buyer's credit does not appear. The buyer has already paid the tax. They just cannot use it.

Worked example — a customer we already host

Annual turnover	₹5,00,00,000
Purchases, at ~72% of turnover	₹3,60,00,000
Input tax credit at 18%	₹64,80,000 / yr
Monthly credit to reconcile	₹5,40,000
Credit unmatched at 2.5% — trapped or lost	**₹1,62,000 / yr**

A 2–3% mismatch rate is ordinary for an SMB buying from small, unorganised suppliers. Delayed credit costs working capital; credit never claimed before the §16(4) deadline is a permanent write-off.

How they cope today

They download the GSTR-2B JSON from the portal, hand it to their accountant, and the accountant eyeballs it against a purchase register in Excel. It takes a day a month, it is done badly, and it is done *after* the filing deadline — which is precisely when it is too late to act. The failure is not effort. It is that **the purchase register and the 2B file never meet inside one system.**

> **The insight.** We are the only tool in our price band that already holds the other half of the equation. Every field the match needs is in our schema today: supplier GSTIN, supplier invoice number, invoice date, taxable value, and the CGST/SGST/IGST split — on every purchase voucher our customers have already entered.

Why this is a product, not a report

- **It is denominated in the customer's own rupees.** The screen opens with the amount at risk, not a list of exceptions.
- **It is recurring.** Reconciliation is a monthly obligation, so the value is felt twelve times a year.
- **It is actionable inside our product.** We can email the defaulting supplier — we already have the address, the invoice, and the mail infrastructure.
- **It compounds into data nobody else has.** See page 6.

Upload, match, chase

STEP 1	STEP 2	STEP 3	STEP 4
Upload 2B	**Match**	**Quantify**	**Chase**
The customer downloads the GSTR-2B JSON from the GST portal and drops it into Simple Invoicing.	We match every row against purchase vouchers on GSTIN, invoice number, date and taxable value, with paise tolerance.	Four buckets, and one headline number: the rupees of credit at risk this period.	One click emails every defaulting supplier, with the invoice detail attached and the send logged.

The screen

ITC Reconciliation — July 2026 | **GSTR-2B uploaded 11 Aug 2026 · 153 rows**

₹13,500 of input credit at risk across **6 suppliers**

₹1,62,000 annualised at the current mismatch rate

BUCKET	INVOICES	CREDIT VALUE	STATUS
Matched — credit safe	142	₹5,26,500	✓ OK
Missing in 2B — supplier has not filed	6	**₹13,500**	▲ AT RISK
In 2B, absent from our books	3	₹4,200	• REVIEW
Value mismatch beyond tolerance	2	₹1,850	• REVIEW

AT RISK — BY SUPPLIER

SUPPLIER	GSTIN	INV.	CREDIT AT RISK
Shakti Steel Traders	27AABCS1429F1ZK	2	₹6,200
Nova Polymers	24AACCN8871J1Z3	1	₹3,100
Anand Fasteners	27AAECA5560L1ZQ	1	₹2,400
Kiran Packaging	29AADCK2018M1Z7	1	₹900
Vertex Tooling	27AAFCV6642P1ZB	1	₹550
Meera Chemicals	24AAGCM3307R1ZN	1	₹350

✉ **Email all 6 suppliers**

Illustrative data. Layout follows the existing Tax Ledger page.

Scope note — the customer uploads the 2B file by hand, exactly as they already download our GSTR-1 export by hand. That deliberately avoids a GSP contract in v1 (see page 4).

Three weeks, because we have built all of it before

ITC Guard is the mirror image of the GSTR-1 export we shipped in June. That feature validates, summarises and exports our *sales* data against a government format. This one ingests a government file and validates our *purchase* data against it. The architecture is already in the repository — we are pointing it in the other direction.

WHAT ITC GUARD NEEDS	WHAT IT REUSES
Accept an uploaded 2B file	The `UploadFile` pattern already used for product CSV import and backup restore
Reconciliation endpoints	Direct mirror of the `gstr1_validate` / `summary` / `export` triad in `routes/ledgers.py`
Source data to match against	Purchase vouchers we already store — `ledger_gst`, `supplier_invoice_number`, date, taxable value, tax split
Chase the supplier	Existing SMTP config, the four-template mail system, and the delivery audit log — this is a fifth template
Export for the accountant	WeasyPrint, same as the GSTR-1 and ledger statement PDFs
Manually link a stubborn row	The same manual-link pattern built for marketplace product resolution

> **No GSP contract, no certification, no per-call minimum.** Pulling 2B through an API would mean a GST Suvidha Provider agreement — contact-sales pricing, per-GSTIN fees, and a minimum commitment around ₹9,000/year before we have a single paying customer. Manual upload gets the same result in v1 at zero marginal cost, and the API becomes an upsell once volume justifies it.

Delivery plan

1. **Week 1 — Ingest and match.** 2B JSON parser, the matching engine and its tolerance rules, new tables and migration.
2. **Week 2 — API and buckets.** The reconcile / summary / export endpoints, the four-bucket classification, supplier aggregation.
3. **Week 3 — Surface and act.** React page under the Tax Ledger section, the supplier-chase email template, PDF export, tests.

Sequenced so there is something demonstrable at the end of each week. Week 1 alone produces the headline number, which is the part worth showing a customer.

What we are explicitly not building in v1

- Automated 2B pull via a GSP API — deferred until pilot volume justifies the contract.
- GSTR-3B preparation or filing — we quantify the exposure; the accountant still files.
- E-invoicing / IRN generation — only binds above ₹5 cr turnover and Tally bundles it; not our wedge.
- The Invoice Management System accept/reject workflow — worth revisiting once the mandate is actually notified.

Priced against recovered cash, not against a competitor

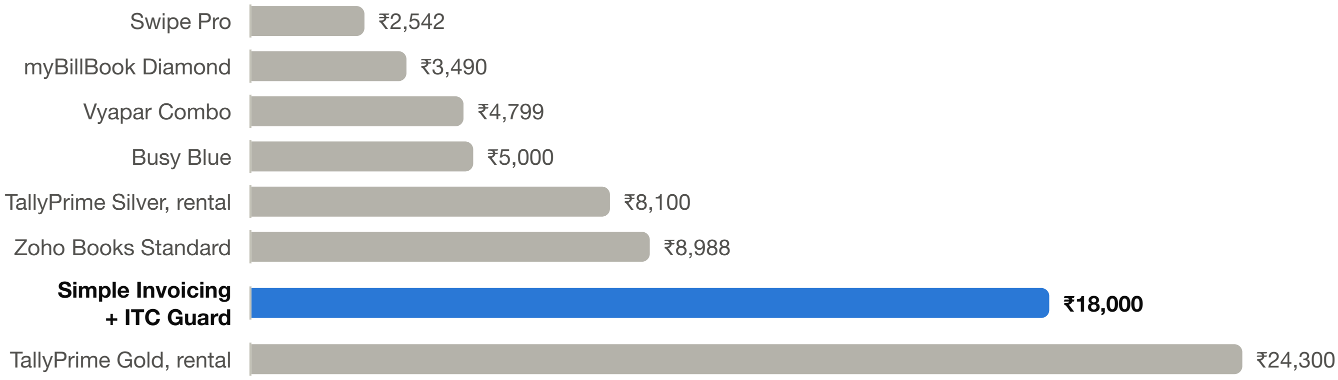
Return to the customer, per year

At ₹5 cr turnover and a 2.5% mismatch rate. Bundle price shown.

A 9× return on the full bundle, 13× on the ₹999/month add-on alone. This is the single slide that closes the sale — the customer is buying back their own money at a discount.

Annual list price — Indian SMB accounting software

Full-suite comparison. Simple Invoicing with ITC Guard highlighted.



The packaging

TIER	PRICE	WHO IT IS FOR
Core — accounting, inventory, GSTR-1	₹6,000 / yr	Below ₹1 cr turnover. Undercuts Tally Silver, holds the door open.
ITC Guard add-on	₹999 / mo	Anyone with a real purchase ledger. The revenue driver.
Complete — Core + ITC Guard	₹18,000 / yr	Our ₹5 cr manufacturers. Below Tally Gold, and it pays for itself 9×.

> **Do not paywall GST compliance itself.** GSTR-1 export stays in the free core. Compliance is what wins the customer; ITC recovery is what they pay for. This mirrors how Odoo draws its line at accounting depth rather than at statutory filing — and it avoids the churn that per-seat limits inflicted on comparable open-source products.

Validating the price point costs nothing: the seven tenants we already host are all in the target profile. If they will not pay ₹999/month to recover ₹13,500/month, we learn that in a fortnight and before any go-to-market spend.

What ITC Guard unlocks next

The revenue case above stands on its own. But the reason to build *this* feature rather than a hosted control plane or an e-invoicing module is what it accumulates: **a filing reliability record for every supplier our customers buy from.** Who files on time. Who strands other people's cash. Nobody else in this market is assembling that.

NOW — 3 WEEKS		NEXT		LATER
ITC Guard Recovered cash, sold as a subscription. Generates a supplier reliability score as a by-product.	→	**Guaranteed-credit trade** Our marketplace posts both sides of a trade from one matched record. Buy through it and the credit *cannot* mismatch.	→	**Credit referral** Matched trade records plus real days-to-pay is stronger underwriting data than GST returns. Referral fees run 1–2.5% of disbursal.

The marketplace stops being speculative

We shipped the marketplace this month, and today the pitch for joining it is discovery — a weak reason to change how a business buys. ITC Guard replaces that pitch with a financial one: **a marketplace trade posts a sales invoice and a purchase invoice from the same matched record, agreeing to the paisa, so the credit can never mismatch.** Guaranteed input credit is a reason to switch suppliers. No incumbent can copy it, because none of them hold both sides of the books.

ITC Guard is what makes that argument legible. It is hard to sell certainty about a problem the customer has not yet measured.

Two blockers that gate anything hosted

Neither affects the pilot — the seven tenants are isolated by separate databases — but both must be closed before we sell a hosted seat to a stranger.

ISSUE	CONSEQUENCE
No user-to-company membership check. The active company is resolved from a request header, and the code only verifies the company exists.	Any authenticated user can switch into any company in the same deployment. Masked today by one database per tenant; a cross-tenant data leak the moment two customers share an instance.
Placeholder signing key in all seven deployments, alongside a shared database password, committed to the repository.	Identical JWT signing keys mean a session token minted on one tenant validates on another. Needs rotation regardless of what we build next.

Also worth flagging, though not a security matter: onboarding a tenant is currently a manual afternoon — copy the manifests, hand-create the database, configure DNS. Workable at seven customers, untenable at seventy. The right problem to solve *after* a price point is proven.

Recommendation

> Build ITC Guard next. Sell it to the seven tenants we already host at ₹999/month, and use what it reveals about supplier reliability as the wedge that makes the marketplace worth joining. Roughly ₹84,000 of committed annual revenue from the existing base would validate the price point before we spend anything on a control plane.

Sources and caveats

Pricing verified August 2026 from vendor pages where published (tallysolutions.com, zoho.com/in/books, mybillbook.in); Busy, Marg and Swipe figures are aggregator-sourced and not vendor-confirmed. GSTR-3B hard-locking per GSTN advisory, effective the July 2025 tax period. E-invoicing threshold remains ₹5 cr AATO, unchanged since 1 August 2023. The Invoice Management System mandate date and Table-4 credit locking are **not yet notified** — the case above does not depend on either. Turnover, purchase ratio and the 2.5% mismatch rate are **modelled assumptions, not measured from customer data**; validating them is an explicit goal of the pilot.